ODESSA AMERICAN INDUSTRIAL MACHINE
3401 N. County Road W
Odessa, Texas 79764

CLOSING DATE
August 31, 2016

AAVIN INVESTMENT
$4,500,000

TTM* REVENUE
$7,507,000

TTM* EBITDA
$1,964,000

TTM* EBITDA MARGIN
26%

STAGE/TRANSACTION TYPE
Recapitalization

GEOGRAPHY
W. South Central (OK, AR, LA, TX) - Texas

INDUSTRY
NAICS Code 332710, Machine Shops

RECOMMENDING DIRECTORS
James Thorp and
Thies Kolln

*TTM is August of 2015 through July of 2016

AAVIN
PRIVATE EQUITY

INVESTMENT SUMMARY

BUSINESS SUMMARY

Odessa American Industrial Machine ("AIM" or the "Company") is a specialty manufacturer of machined parts and components for industrial engines and compressors serving companies with natural gas processing facilities in the Permian Basin (Odessa, Texas and vicinity).

The natural gas industry is stratified into 3 different functional areas, generally referred to as upstream, (exploration and production), midstream, (gathering and cleaning), and then downstream (marketing and distribution to the user). The Company serves the needs of midstream companies that gather gas from the wellhead and transport it through pipelines to processing plants and then on to retail markets. Throughout this process compressors driven by large engines are critical components to provide the required pressure to move the natural gas through this backbone utility made up of a series of pipelines.

AIM provides service to owners of natural gas compression systems whose need is often immediate and critical. When a failed or damaged part on a high value engine or compressor causes an outage, it can, in turn, cause the natural gas producer to incur significant expense and lost revenue. Given the 24/7/365 rugged operating field conditions, component parts need to be repeatedly repaired or replaced. Approximately 70% of Company work is for unplanned part failures. This Company has a reputation for being highly responsive to this urgent, time dependent, customer requirement. The Company rebuilds or fabricates parts in their machining operation and provides the replacement to its customers which then manage the installation.

AAVIN INVESTMENT

AAVIN lead a recapitalization that provided significant liquidity to the owners of AIM in the amount of $6,000,000 at closing in exchange for a 50% interest in the Company. AAVIN invested $4,000,000 to support this transaction and secured another $2,000,000 in senior term debt from Parkside Financial Bank & Trust. An additional $1,000,000 in a working capital line of credit based upon receivables and inventory was also put in place and was undrawn at closing. AAVIN provided a total of $4,500,000 to provide for the recapitalization, closing costs and initial cash operating capital.

	Ownership %	Total Investment	Subordinated Debt	Total Equity	Preferred Equity	Common Equity
AEP II	14	$1,300,671	$1,069,439	$231,232	$228,920	$2,312
AMF	36	3,199,329	2,630,561	568,768	563,080	5,688
TOTAL	50%	$4,500,000	$3,700,000	$800,000	$792,000	$8,000

MANAGEMENT

The Company will continue to be managed by the same team that has managed it in the past. AAVIN will work with this team to supplement as necessary to provide for future growth.